



The second way to use CCI is to understand when the asset is overbought and when it is oversold. This will work like that of RSI. However, here instead of moving between 0 and 100, the CCI moves limitless. So, we will zoom out of the graph, and look at the past and identify the levels from which CCI reverts. We need to set threshold levels on both sides. Let us say, 250 on the positive side and -200 on the negative side. Whenever the CCI goes outside of this range, we can expect a reversal. There will be no clear exit and entry signal. We will have to combine this with other indicators to enter and exit a trade.